Microsoft

Second Quarter Fiscal Year 2026 Outlook

October 29, 2025

Satya Nadella
Amy Hood
Jonathan Neilson

This presentation contains forward-looking statements, which are any predictions, projections, or other statements about future events. These statements are based on current expectations and assumptions that are subject to risks and uncertainties. Actual results could materially differ because of factors discussed in today's earnings press release, in the comments made during the conference call, and in the Risk Factors section and other sections of our Form 10-K, Forms 10-Q, and other reports and filings with the Securities and Exchange Commission. We do not undertake any duty to update forward-looking statements.

FY26 Q2 Outlook

Foreign currency impact	• Increase to total company revenue growth of 2 points, with 2 points in Productivity and Business Processes and Intelligent Cloud, and 1 point in More Personal Computing • Increase to COGS growth and Opex growth of 1 point
Total Company	• Revenue of $79.5 to $80.6 billion
Productivity and Business Processes	• Revenue of $33.3 to $33.6 billion
Intelligent Cloud	• Revenue of $32.25 to $32.55 billion
More Personal Computing	• Revenue of $13.95 to $14.45 billion
Cost of revenue	• COGS of $26.35 to $26.55 billion
Operating expenses	• Expenses of $17.3 to $17.4 billion
Other income and expense	• Expected to be roughly $100 million excluding any impact from our investments in OpenAI
Effective tax rate	• Approximately 19%

FY26 Q2 Outlook Detail

Commercial Business

Commercial bookings	Healthy growth in the core business on a low expiry base when adjusting for OpenAI contracts in the prior year
Microsoft Cloud gross margin percentage	Roughly 66%

Productivity and Business Processes

Microsoft 365 Commercial cloud revenue	Growth of 13% to 14% in constant currency
Microsoft 365 Commercial products revenue	Growth in low- to mid-single digits
Microsoft 365 Consumer cloud revenue	Growth in mid-twenties
LinkedIn revenue	Growth of approximately 10%
Dynamics 365 revenue	Growth in mid- to high-teens

Intelligent Cloud

Azure and other cloud services revenue	Growth of approximately 37% in constant currency
Server products revenue	Decline in low- to mid-single digits

More Personal Computing

Windows OEM and Devices revenue	Decline in mid-single digits
Search and news advertising revenue (ex TAC)	Growth in low-double digits
Xbox content and services revenue	Decline in low- to mid-single digits



© Copyright Microsoft Corporation. All rights reserved.